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No.
13 – Euler Hermes North America Ins. Co. v. One Vision Enterprises, Inc., et
al.

Defendant
Alterna Capital Solutions LLC’s Motion for Summary Adjudication

Defendant
Alterna Capital Solutions LLC (“Alterna”) moves for summary adjudication of
Plaintiff Euler Hermes North America Insurance Company’s (“Euler”) fifth cause
of action for declaratory relief in its first amended complaint. Euler and
Cross-Complainants/Cross-Defendants Farmer’s Business Network, Inc. and Generic
Crop Science LLC (“FBN/GCS”) filed opposition briefs.

Request
for Judicial Notice

Alterna
requests judicial notice of four pleadings from this action: the complaint,
first amended complaint, cross-complaint, and first amended cross-complaint.
These documents are subject to judicial notice under Evidence Code section
452(d).

Alterna’s
request for judicial notice is granted.

Euler
similarly requests judicial notice of its first amended complaint. This

document is subject to judicial notice under Evidence Code section 452(d).

Euler's request for judicial notice is granted.

Evidentiary Objections

Alterna makes several objections to the Declaration of Jasmine Smith-Westry submitted by Euler. The objection referring to paragraph 22 in the declaration is sustained based on speculation. All other objections are overruled.

Summary of First Amended Complaint

Euler filed the operative first amended complaint against Defendants One Vision Enterprises, Inc. ("OVE"), Alterna, and FBN/GCS for (1) breach of contract; (2) conversion; (3) money had and received; (4) account stated; and (5) declaratory relief.

In the first amended complaint, Euler alleges that it issued an insurance policy to OVE. (FAC, ¶¶ 8-9, Ex. 1.) The policy named Alterna as the beneficiary to be paid on all claims. (Id., ¶ 10.) The policy provided "coverage for credit losses sustained from unpaid insured receivables." (Id., ¶ 9.)

In 2023, OVE submitted a claim of about $3.1 million to Euler based on unpaid receivables from GCS. (FAC, ¶ 11.) Pursuant to the insurance policy, Euler paid beneficiary Alterna $2.7 million to resolve the claim. (Id., ¶ 12.) Euler alleges that shortly after, OVE agreed to accept a payment from FBN on behalf of GCS to fully satisfy debts owed by FBN/GCS to OVE. (Id., ¶ 14.) Euler alleges that under the insurance policy, the subsequent transaction to satisfy the debts permits it to recover its $2.7 million insurance payment. (Id., ¶¶ 17-21.)

Summary Adjudication

Code of Civil Procedure section 437c(f)(1) provides, “A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.” “The court must ‘grant[ ]’ the ‘motion’ ‘if all the papers submitted show’ that ‘there is no triable issue as to any material fact’ [citation]—that is, there is no issue requiring a trial as to any fact that is necessary under the pleadings and, ultimately, the law.” (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.)

Alterna requests that the Court grant summary adjudication of Euler’s declaratory relief claim asserted against it. Euler’s declaratory relief claim requests “a declaration of the rights and obligations of the parties under the Policy, including a declaration of which defendant is obligated to pay [Euler] the $2,700,000 it paid to [Alterna] in resolution of OVE’s insurance claim, which arose out of GCS’s debt to OVE, including a separate determination that OVE and [Alterna], the insured and Beneficiary under the Policy are obligated to reimburse [Euler] or alternatively GCS and FBN are obligated to repay [Euler] the $2,700,000 it paid under the Policy.” (FAC, Fifth Cause of Action, ¶ 11.)

Alterna argues that this cause of action can be resolved in its favor because the undisputed facts show that FBN/GCS are obligated to pay the $2.7 million amount, not Alterna. For support, Alterna contends that FBN/GCS received a “Notice of Assignment” in November 2022, which put them on notice that they were legally obligated to pay Alterna directly, not OVE, for any unpaid invoices. The Notice of Assignment explicitly stated that OVE “[had] assigned, and will continue to assign, [its] present and future Accounts to [Alterna], which such assignments and billing payment changes will remain in effect until further written notice by [Alterna].” (LaBelle Decl., Ex. 2.) Alterna also presents evidence that Tom Lyons, FBN and GCS’s corporate representative, confirmed in a deposition that FBN/GCS received this letter and understood that all current and future payments were to be made to Alterna, not OVE. (Levine Decl., Ex. 14, Lyons Depo at 257:18-258:12) Therefore, Alterna argues that FBN/GCS could only extinguish the debt by paying Alterna, and any payment to the assignor, OVE, would not count toward the debt under assignment law. (See Cal. U. Com. Code, § 9406(a) [“After receipt of the notification [of assignment], the account debtor may discharge its obligation by paying the assignee and may not discharge the obligation by paying the assignor.”].) Therefore, Alterna would not be liable for the debt.

Euler and FBN/GCS raise several triable issues of material fact as to whether Alterna is liable for the $2.7 million amount.

Euler provides evidence demonstrating several triable issues of material fact bearing on Alterna's liability for payment. For example, Euler points out that its declaratory relief claim explicitly seeks "a declaration of the rights and obligations of the parties under the Policy" (FAC, Fifth Cause of Action, ¶ 11 [emphasis added]), referring to its insurance policy—not under any Notice of Assignment on which Alterna relies. Euler further argues that Alterna's assignment rights would not change its obligations under the insurance policy: Alterna is a policy beneficiary and all of Euler's rights and remedies against OVE would also apply equally to Alterna.

For example, the policy states "[a]ll rights and remedies that [Euler has] against [OVE] shall apply to the Beneficiary." (FAC, Ex. 1, at p. 1, ¶ 7.) The policy also provides:

As soon as we make a Claim Payment, we become entitled to enforce all of your rights, claims, guarantees, security, collateral, causes of action and defenses against a Buyer (or other third parties) relating to all receivables included in the applicable Claim and Collection form (our Subrogation Rights). For each Claim Payment made, our Subrogation Rights will end once the Claim Payment amount has been fully repaid to us.

(Id., § 13.1.)

Therefore, there is a dispute of material fact as to whether Alterna, as a policy beneficiary, is obligated to pay back the amount received as a claim payment.

FBN/GCS also present a triable issue of material fact regarding Alterna's liability on the payment. FBN/GCS argue that Broc Sondgroth, an OVE employee, acted as Alterna's agent when he directed FBN to make payments directly to OVE instead of Alterna via a netting agreement. FBN/GCS provide evidence that Sondgroth discussed Alterna's invoices with FBN/GCS. (Hewitt Decl., Ex. C, Sondgroth Depo, at 112:22-25-113:1-9.) FBN/GCS proposed a "netting" of all accounts due including invoices purportedly assigned to Alterna; Sondgroth agreed to the netting agreement. (Id., 124:10-25, 125:1-18.) Eric Berg, the CEO of OVE, was aware of Sondgroth's efforts to satisfy the debts owed on Alterna's invoices and approved the netting agreement. (Id., 124:10-25; Hewitt Decl., Ex. D, Berg Depo 115:23-116:16.) Therefore, there is a triable issue of material fact as to whether Sondgroth's conduct in accepting the netting agreement would make Alterna liable for the outstanding $2.7 million.

Disposition

Defendant
Alterna Capital Solutions LLC's motion for summary adjudication as to Euler Hermes North America Insurance Company's fifth cause of action for declaratory relief is denied.

Cross-Defendants
Farmer's Business Network, Inc. and Generic Crop Science LLC's Motion for Summary Adjudication

Cross-Defendants
Farmer's Business Network, Inc. and Generic Crop Science LLC ("FBN/GCS") move for summary adjudication of certain causes of action in One Vision Enterprises, Inc.'s ("OVE") cross-complaint. Specifically, FBN/GCS move for summary adjudication of OVE's second, fourth, eighth, and ninth causes of action for intentional misrepresentation, concealment, false promise, and negligent misrepresentation, respectively.

Evidentiary
Objections

OVE
makes one objection to FBN/GCS's Exhibit H, which is a copy of FBN/GCS's first amended cross-complaint in this case. This objection is overruled.

FBN/GCS
make six objections to the Declaration of Eric Berg submitted by OVE. All objections are overruled.

Procedural
Issues

As an initial matter, the Court notes that FBN/GCS's motion does not fully comply with California Rules of Court, rule 3.1350. When moving for summary adjudication, "the specific cause of action, affirmative defense, claims for damages, or issues of duty must be stated specifically in the notice of motion and be repeated, verbatim, in the separate statement of undisputed material facts." (Rule 3.1350(b).) FBN/GCS's notice of motion indicates that they move for summary adjudication on OVE's second, fourth, eighth, and ninth causes of action. (Notice of Motion, at p. 2.) However, in the separate statement, FBN/GCS identify four issues under each cause of action (16 issues total) that they wish the Court to summarily adjudicate. Therefore, the notice of motion did not accurately reflect the issues to be adjudicated as required.

The Court will exercise its discretion not to deny FBN/GCS's motion on this basis. "[T]he court's power to deny summary judgment on the basis of failure to comply with California Rules of Court, rule 3.1350 is discretionary, not mandatory." (Truong v. Glasser (2009) 181 Cal.App.4th 102, 118.) Courts have discretion to overlook any such failure when it does not prejudice the opposing party. (Ibid.) OVE does not identify any prejudice resulting from FBN/GCS's failing to comply with rule 3.1350.

Summary Adjudication

Code of Civil Procedure section 437c(f)(1) provides, "A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." "The court must 'grant[ ]' the 'motion' 'if all the papers submitted show' that 'there is no triable issue as to any material fact' [citation]—that is, there is no issue requiring a trial as to any fact that is necessary under the pleadings and, ultimately, the law." (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) Courts use a three-step analysis: "(1) identify the issues framed by the pleadings; (2) determine whether the moving party has negated the opponent's claims; and (3) determine whether the opposition has demonstrated the existence of a triable, material factual issue." (Hinesley v. Oakshade Town Center (2005) 135 Cal.App.4th 289, 294.)

1. Framing of Issues

The first step of the analysis—“identify the issues framed by the pleadings”—is especially significant given the briefing submitted by the parties. Thus, the Court will summarize the content of OVE’s cross-complaint.

OVE filed a cross-complaint against FBN and GCS alleging nine causes of action for (1) breach of written contract; (2) intentional misrepresentation; (3) promissory estoppel; (4) concealment; (5) account stated; (6) goods and services rendered; (7) open book account; (8) false promise; and (9) negligent misrepresentation. The cross-complaint alleges, “On or about April 10, 2021, OVE and FBN, through FBN’s subsidiary, GCS, entered into a supply and distribution agreement contract for OVE to manufacture and supply, and for FBN to purchase through GCS, products.” (Cross-Comp., ¶ 10.) “Pursuant to the supply and distribution agreement contract and amendment, FBN issued Purchase Orders … for OVE to manufacture products.” (Id., ¶ 12.) “With valid purchase orders executed, OVE performed as per the Agreement, in or around late 2022 and early 2023, and started manufacturing products as ordered.” (Id., ¶ 14.)

The cross-complaint alleges two separate issues arising from this business relationship. First, in April 2023, FBN stopped paying OVE for its invoices. (Cross-Comp., ¶ 19.) The cross-complaint alleges FBN made various misrepresentations about its ability to pay its debts. (Id., ¶¶ 20-24.) Second, the cross-complaint alleges FBN sold “defective” “input materials” to OVE. (Id., ¶ 33.) OVE alleges it incurred costs to “research, retest, and rework the Faulty Material FBN provided.” (Id., ¶ 39.)

In their motion for summary adjudication, FBN/GCS argue that OVE cannot, under its fraud-based claims, identify any actionable misrepresentation FBN/GCS made regarding their financial condition, or any justifiable reliance resulting therefrom.

In opposition, OVE argues that FBN/GCS’s entire motion misses the mark. OVE contends that while its second cause of action for intentional misrepresentation was based on statements made in connection with FBN/GCS's financial condition,[1] the other three challenged causes of action addressed misrepresentations FBN/GCS made when they supplied OVE with defective products. Specifically, OVE argues:

The third cause of action for concealment [sic], the eighth cause of action for false promise, and the ninth cause of action for negligent misrepresentation concern FBN/GCS's obligation to provide OVE with glyphosate technical for use in the manufacturing of herbicide. The Cross Complaint details these issues at paragraphs 31-48. In the Motion, FBN/GCS completely disregards the issue in an attempt to misdirect the court to a different issue related to FBN/GCS's financial issues.

(Opp., at p. 7.)

The Court is not convinced that OVE's cross-complaint encompasses any fraud theory based on defective products, even when liberally construing its allegations. For example, the cross-complaint only discusses fraudulent misrepresentations made in connection with its ability to pay outstanding invoices. (See Cross-Compl., ¶ 22 ["FBN had made representations to OVE and ALTERNA and even sent a letter guaranteeing that FBN would pay the balances owed to OVE and ALTERNA."]; ¶ 24 ["[FBN] provided false and erroneous information about the nature of FBN's financial status as well as the reasons for not accepting financial assistance."].) The cross-complaint does not discuss fraudulent misrepresentations made in connection with FBN/GCS's "faulty material." (Cross-Compl., ¶ 32.)

FBN/GCS have the burden of "negating only those theories of liability as alleged in the complaint and [are] not obliged to refute liability on some theoretical possibility not included in the pleadings." (Conroy v. Regents of University of California (2009) 45 Cal.4th 1244, 1254 [cleaned up] [emphasis in original].) Given the heightened specificity pleading standard for fraud, the Court finds FBN/GCS were especially justified in relying on the fraud theory as alleged in the cross-complaint. Thus, the Court will analyze whether FBN/GCS met their burden of negating the fraud-based claims as alleged in the cross-complaint.

2. FBN/GCS's

Burden

FBN/GCS easily meet their burden of showing OVE cannot prove an essential element of its claims.

OVE's causes of action for intentional misrepresentation, negligent misrepresentation, fraudulent concealment, and false promise all require that OVE justifiably relied on FBN/GCS's misrepresentation or concealment of their financial condition. (See Daniels v. Select Portfolio Servicing, Inc. (2016) 246 Cal.App.4th 1150, 1166 [stating elements for intentional misrepresentation]; Behnke v. State Farm General Ins. Co. (2011) 196 Cal.App.4th 1443, 1453 [stating elements for false promise]; Apollo Capital Fund, LLC v. Roth Capital Partners, LLC (2007) 158 Cal.App.4th 226, 243 [stating elements for negligent misrepresentation]; Hoffman v. 162 North Wolfe LLC (2014) 228 Cal.App.4th 1178, 1185-1186 [stating elements for fraudulent concealment].)

FBN/GCS provide evidence showing that any reliance was not justifiable. For example, FBN/GCS demonstrate that OVE was aware of their financial difficulties. OVE's CEO, Eric Berg, testified that OVE "had been pressing FBN for months at that point to either help them get funding, press them to get their own funding in order to pay Alterna." (Hewitt Decl., Ex. D, Berg Depo. 116:5-16.) Sondgroth, an OVE employee, also confirmed his knowledge of FBN/GCS's financial condition. When asked in his deposition how he knew that FBN needed money, he responded: "They told me." (Hewitt Decl., Ex. C, Sondgroth Depo. 107:5-8.)

This knowledge of FBN/GCS's poor financial condition is further confirmed by OVE's responses to FBN/GCS's undisputed facts. (See, e.g., Resp. to Sep. Statement, UMF Nos. 3, 6-7 [UMF No. 3: "Sondgroth and OVE were aware at the end of 2022 on that FBN 'needed help' and was having financial difficulties." Response: "Undisputed and immaterial."] [UMF No. 6: "On May 12, Broc Sondgroth was aware of Cross Defendants' financial difficulties making payments for purchases made by Cross-Defendants including with regard to Alterna." Response: "Undisputed and immaterial."] [UMF No. 7: "At least beginning in May of 2023, Broc Sondgroth began assisting Cross-Defendants with locating financing to assist Cross-Defendants with making purchases and paying invoices." Response: "Undisputed and immaterial."].)

3. OVE's Burden

OVE provides no evidence showing a triable issue of material fact. Instead, its evidence attempts to demonstrate OVE's justifiable reliance on alleged misrepresentations made in connection with selling a defective product. As discussed above, this fraud theory is not adequately stated in the pleadings; thus, OVE cannot introduce the theory here to manufacture a disputed issue of material fact.

Disposition

Cross-Defendants Farmer's Business Network, Inc. and Generic Crop Science LLC's motion for summary adjudication as to One Vision Enterprises, Inc.'s second, fourth, eighth, and ninth causes of action is granted.

[1] OVE did not oppose FBN/GCS's motion for summary adjudication as to the second cause of action.